

GLOBAL RATES TRADER

Quick Duration Break

June's cooler inflation data has brought some reprieve to hawkish risks in the US. With Fed officials signaling a clear focus on the price side of the mandate, however, continued erosion in hike pricing requires further accumulation of quieting inflation news under a stable labor market baseline. Meanwhile, the relative stickiness in long-end yields makes sense given reduced cyclical risks and ongoing AI investment, so the mix of risks facing the US curve continues to argue for anchoring longs in 5s. Hawkish risks are now well-priced by both European and UK front-ends, although upside risks to gas prices may prevent relief in the near term. Nonetheless, we expect to see front-end relief and steeper curves to end-2026. Redirecting Japanese savings towards domestic assets and JGBs via GPIF and NISA may see pension and retail categories increasing JGB allocation, but apart from modest support to long-end spreads we think macro conditions will determine JGB yields, not flows.

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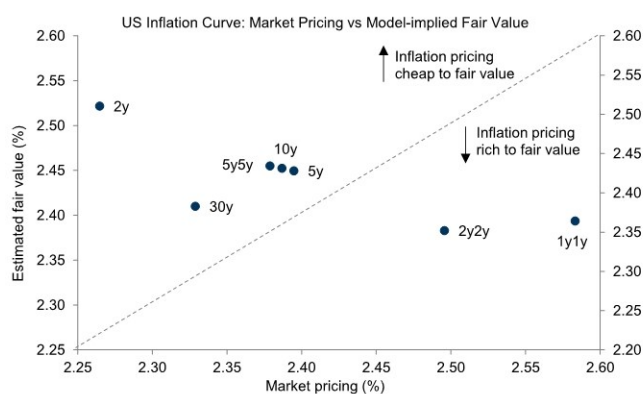
- **Inflation grants a reprieve.** A stable labor market has kept Fed officials firmly focused on the inflation side of the mandate, with recent communication suggesting dwindling patience to explain away further target overshoots. For one month, however, the data appears to have delivered a reprieve, with our economists expecting an 18bp monthly core PCE print for June following the week's inflation reports. With a year-on-year core PCE rate that is still solidly above 3%, however, we think continued erosion of hike risk relies on further accumulation of benign inflation news. In the near term, the Fed's pre-meeting blackout and a sparser data calendar should limit scope for hike pricing to compress meaningfully; given the week's compression and volume of data to come before the September meeting, we think very front-end paid/steepening positions are a reasonable hedge to near-term energy upside. We expect longer-term yields to continue to lag in rallies, with the combination of cyclical resilience and the investment backdrop factors we continue to think should keep long-end yields comparatively sticky. Despite pockets of belly underperformance in the oil-driven move higher in yields, we maintain our preference for anchoring longs in the 5y part of the curve given greater scope for 2s5s flattening on inflation upside and stickier long-end forwards in rallies.
- **Mixed signals for US traded inflation.** Traded inflation has been caught

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between competing forces this week, with rising oil prices on one hand and hawkish Fed speak plus the benign June CPI report on the other. Our updated macro valuation framework puts longer-term inflation forwards on the cheap side of fair. We suspect this reflects the market's perception of a more hawkish Fed following the June meeting—supported by Governor Waller's comments this week—and choppy price action in risk assets. That said, 1y1y and 2y2y, have traded somewhat rich, reflecting greater sensitivity to higher oil prices that longer-term forwards have been more immune to (Exhibit 1). Despite slightly cheap longer-term forwards, we do not think that traded inflation is a compelling outright long currently—our economists' baseline is for a softer-than-priced 12-to-18 month ahead inflation, and any upside inflation surprises are likely to be met with higher real rates without a dovish shift in the Fed's messaging.

Exhibit 1: Longer-term inflation forwards screen modestly cheap relative to fundamentals



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 2: Greater long-end credit issuance tends to correspond to softer UST stripping activity

y/y % change in UST bonds held in stripped form vs change in Bloomberg US Corporate 20y+ amount outstanding



Source: Goldman Sachs Global Investment Research, Bloomberg

■ Halftime check-in for Treasury demand—still benign, but pockets to watch.

While several categories have lagged our initial expectations for Treasury demand so far this year, we still view the outlook as generally benign though there are clearer questions around absorption for the second half. Our baseline is for \$684bn net bill supply and \$605bn net coupon supply in 2H26, which we expect to be absorbed by a mix of buyers: we expect the Fed to buy an additional \$130-140bn in bills through year-end, and money funds to deploy future AUM growth, supported by elevated front-end rates and potentially more risk asset volatility, into repo and bills, as supply picks up after a seasonal lull. Increased long-end corporate supply may erode certain sources of Treasury demand—we'll be attentive to stripping activity here (Exhibit 2)—though we do not think this has had an outsized effect on long-end valuations compared to macro drivers. Lower foreign official buying likely reflects the strength in USD, not a structural shift in demand patterns; foreign private buying has remained a steady source of net demand throughout the year. Lastly, while commercial bank buying has not yet clearly shown an acceleration from regulatory reforms, we think greater intermediation capacity should support absorption moving forward.

- **Rising bill issuance to anchor repo rates higher in the range.** The July ramp up in bill supply has helped to lift short-term funding costs to the middle of the Fed's target range. We have viewed easier funding conditions as reflecting a mix of constrained bill supply due to seasonal patterns and Fed buying, continued growth in money funds assets, and signs of a moderation in funding demand from levered investors. Several factors point to a shifting balance, however. While the broader trend in money fund AUM remains positive and the recent WAM reduction has held, 1-month bills cheapened versus OIS alongside larger auction sizes and a drop in MMF AUM on the week. Leveraged funds' short position in Treasury futures also stopped declining in recent weeks, which may mean a more stable appetite for repo funding moving forward. The drop in the TGA to its lowest levels since May—which in part likely reflected the impact of tariff refund payments on Treasury's cashflows—was also a factor behind the easy early month conditions; rising bill issuance should help rebuild the TGA closer to steady state. While bill supply absorption in the context of shorter money fund WAM may lead to pockets of pressure and a flatter bills-OIS curve, our baseline is for repo rates to remain anchored a bit below IORB, supported in part by a more cautious approach to RMPs through the September tax season.
- **BoC policy appropriate, as normalization steepens the curve and tightens USD-CAD spreads.** The BoC kept rates on hold this week, returning to the pre-war guidance that policy is “appropriate,” in line with expectations. The assessment that there was “slightly more excess supply than anticipated,” and the removal of the reference to the potential for consecutive hikes were modestly dovish developments, which were balanced by the acknowledgment of signs of a pickup in activity. We think this points to policy remaining at the bottom end of the neutral range, which should continue to support the recovery in activity. But with the more severe trade risks curtailed for now, we think markets will continue to price an eventual return to normal, translating into a steeper curve over time led by intermediate and longer-term forwards. As activity headwinds and supply constraints fade and accommodative policy and tailwinds from the AI build-out support the forward outlook, we see scope for relative underperformance of the belly of the CAD curve versus the US. With the USD-CAD 5y spread at its widest outside last year's trade war, while the growth outlook narrower, we think there is room for that gap to tighten (Exhibit 3).

Exhibit 3: While the difference in growth expectations has narrowed, USD-CAD belly rates have diverged again

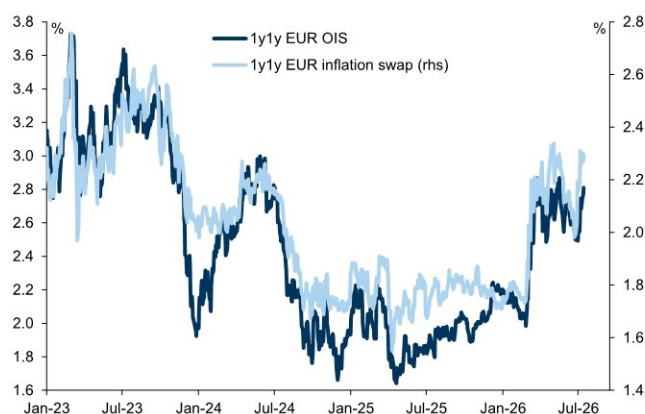


Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities, Consensus Economics

Europe

- **EUR 1y1y under pressure, but hawkish risks well-priced.** Renewed concerns about upside risks to global energy and European gas prices have driven yields higher in recent weeks. Since the 2 July low, 1y1y has repriced over 30bp, and now prices a 'higher-for-longer' path for the ECB. With almost two additional hikes priced for 2026, it is notable to see hike pricing in 2027 increasing alongside higher 2026 pricing. Last week we had thought 1y1y rates were already too elevated, and this remains the case vs our forecasts. We think 1y1y-2y2y will eventually steepen, but ongoing upside risks to gas prices suggest more balanced tactical risk in the near term, especially as 1y1y does not look dislocated vs 1y1y traded HICP ([Exhibit 4](#)). Next week's ECB meeting should offer few surprises, with the GC on hold and offering limited guidance – although soft signals towards a September hike are possible. Further out the curve, we continue to think that 10y Bund yields will end the year near 3%, and with the ECB on hold this should result in steeper core curves.

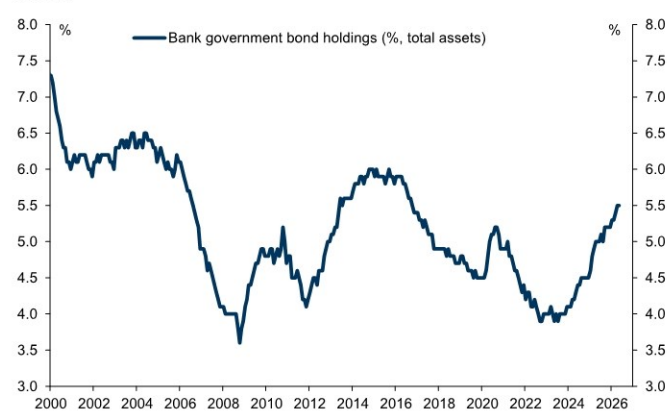
Exhibit 4: 1y1y OIS is trading in line with 1y1y HICP



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 5: Euro area bank sovereign bond holdings increasing towards highs

Euro area MFI general government holdings as share of total assets

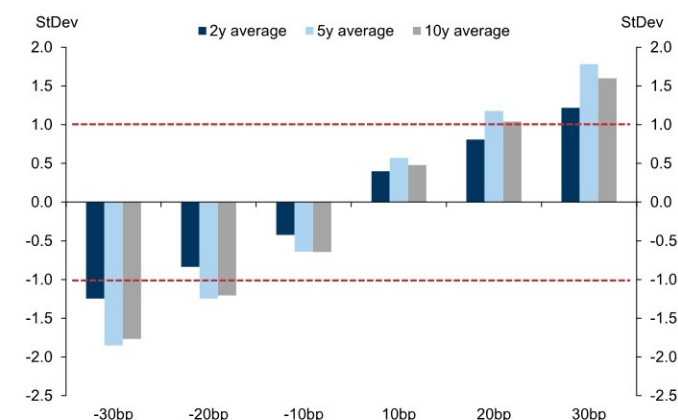


Source: Goldman Sachs Global Investment Research, ECB, Haver Analytics

- **Potential leverage ratio relief for EGB swap spreads.** Reports suggest the EU is considering loosening leverage ratio requirements in the Euro area, which should provide incremental support for EGBs on asset swaps. Our Banks research team estimate that this could boost overall balance sheet capacity by EUR180bn. At current levels of European bank government bond holdings (~5%, Exhibit 5), this would translate into EUR9bn of additional direct bond ownership, with further room for the broader financial system to absorb government bonds, among other assets. Additionally, they note that a reduction in the leverage ratio provides incremental support for government bond ownership, which is leverage-intense but has limited impact on risk-weighted asset requirements. Although the direct estimate is small (less than 1% on government bond free-float), this suggests modest support for EGBs on asset swaps. The rise in rates volatility and rate hike risk from higher gas prices is a near-term headwind, but with a hawkish ECB path already well-priced, we see positive risk-reward for sovereign carry and EGBs on asset swaps.
- **Recent data benign, but energy risks remain ahead of BoE MPC.** The UK curve has remained sensitive to energy prices, with Z7 bearing the brunt of repricing since the beginning of July, as we have seen in Europe, suggesting that the market is increasingly treating renewed energy pressure as a risk that could persist into next year. Next week's CPI is stale to recent energy moves, but may help the market assess risks around the pass-through of the initial energy shock from March. Historically, misses of 20bp or more have been needed to generate moves beyond one daily standard deviation (around 6-7bp), with the largest response in 5y rates (Exhibit 6). Despite symmetric risks around the inflation number itself, hawkish risks for the BoE meeting look well-priced in the front-end. Near-term political uncertainty may diminish as the leadership transition becomes formalised next week, but that does not resolve the underlying fiscal tension between spending ambitions, limited headroom and constrained tax options. With greater clarity on the policy agenda likely to emerge only gradually over the summer, and the Autumn Budget still the natural focal point for fiscal risk, we expect UK term premium to remain sticky even if weaker inflation allows the front end and belly to rally. As a result, we continue to recommend GBP 2s10s steepeners, with the BoE likely remaining more dovish than market pricing, and fiscal uncertainty limiting the scope for sustained long-end outperformance.

Exhibit 6: Large UK inflation surprises have historically produced outsized moves in the belly

Volatility-adjusted average change in UK 2y, 5y and 10y rates conditional on headline CPI surprises



Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities, Bloomberg

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The authors would like to thank Dario Scordamaglia for his contribution to this report. Dario is an intern on the Markets team.

Forecasts

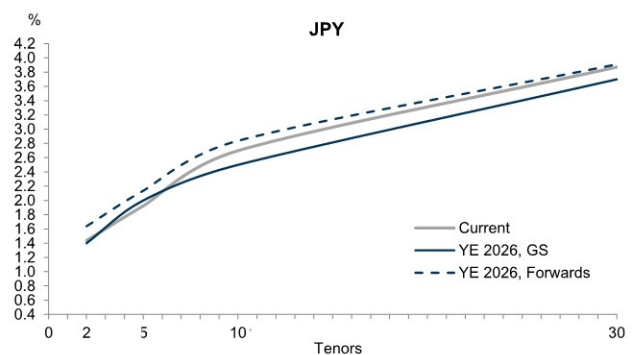
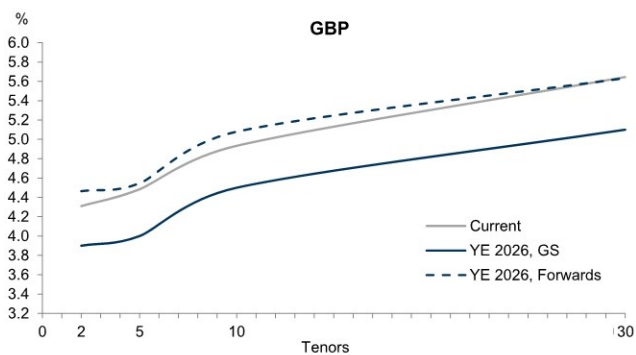
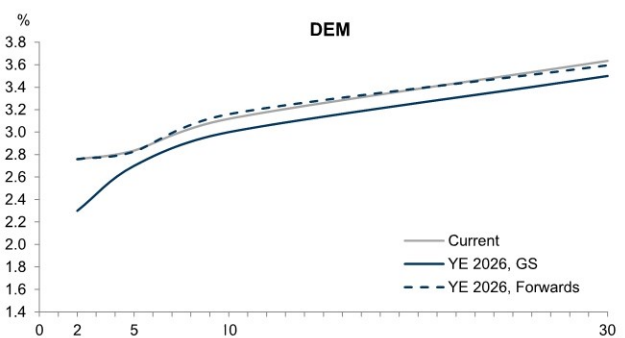
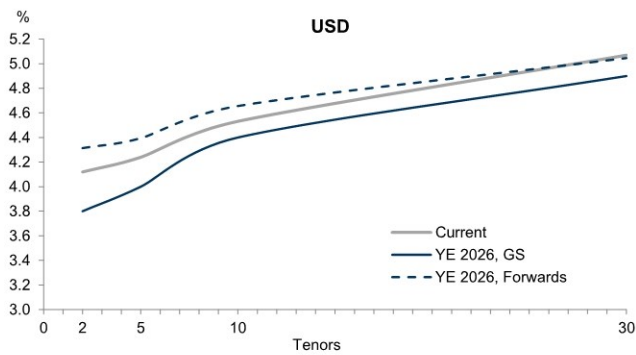
G10 10y yield forecast

G10 10-Year Yield Forecasts													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
Spot	4.53	3.12	3.92	3.93	3.58	4.93	2.70	3.53	0.44	2.92	4.37	4.90	4.65
3Q26	4.45	2.95	3.60	3.65	3.35	4.60	2.50	3.50	0.40	3.20	4.00	4.75	4.50
4Q26	4.40	3.00	3.70	3.75	3.45	4.50	2.50	3.50	0.50	3.25	4.00	4.70	4.50
1Q27	4.35	3.00	3.75	3.80	3.50	4.50	2.45	3.50	0.50	3.25	4.00	4.60	4.50
2Q27	4.30	3.00	3.75	3.85	3.55	4.40	2.40	3.50	0.50	3.25	4.00	4.50	4.50
3Q27	4.25	3.00	3.75	3.90	3.60	4.40	2.30	3.50	0.50	3.25	4.00	4.50	4.50
4Q27	4.25	3.00	3.75	3.90	3.60	4.35	2.25	3.50	0.50	3.25	4.00	4.50	4.50
1Q28	4.25	3.00	3.75	3.90	3.60	4.30	2.20	3.50	0.50	3.25	4.00	4.50	4.50

Deviation from Forwards													
	USD	DEM	FRA	ITA	ESP	GBP	JPY	CAD	CHF	SEK	NOK	AUD	NZD
3Q26	-0.14	-0.20	-0.44	-0.27	-0.08	-0.06	0.28	-0.36	-0.18	-0.22	-0.35	-0.34	-0.26
4Q26	-0.24	-0.19	-0.60	-0.35	-0.12	0.01	0.30	-0.36	-0.26	-0.29	-0.32	-0.29	-0.21
1Q27	-0.33	-0.22	-0.65	-0.48	-0.16	-0.01	0.27	-0.35	-0.39	-0.36	-0.33	-0.30	-0.21
2Q27	-0.43	-0.26	-0.79	-0.60	-0.20	-0.03	0.25	-0.34	-0.51	-0.42	-0.34	-0.36	-0.21

Source: Goldman Sachs Global Investment Research

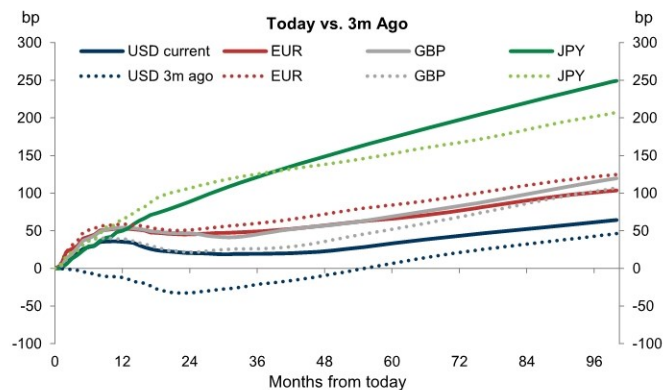
G4 Curve Forecast



Source: Bloomberg, Goldman Sachs Global Investment Research

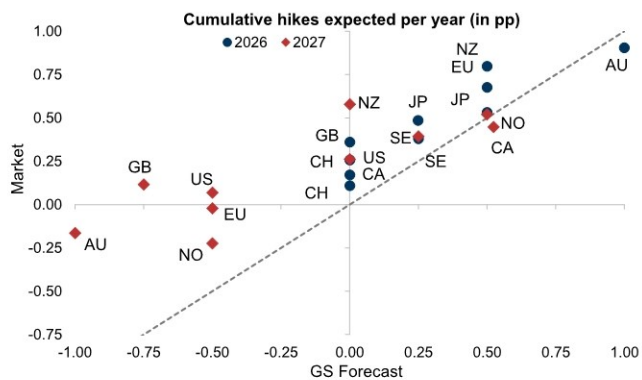
Central Bank Dashboard

Cumulative amount of hikes/cuts priced from today



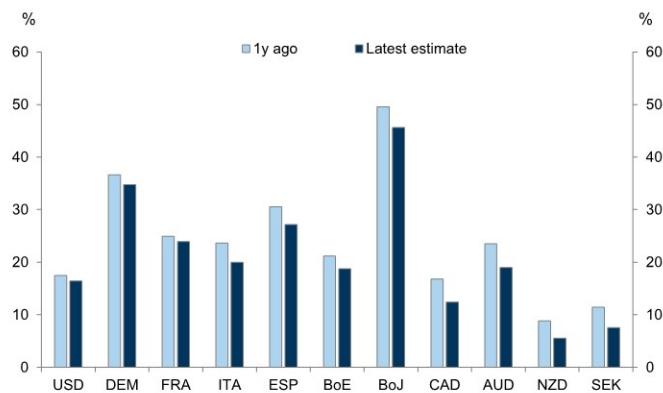
Source: Goldman Sachs Global Investment Research

Expected hikes by year, GS vs. Market



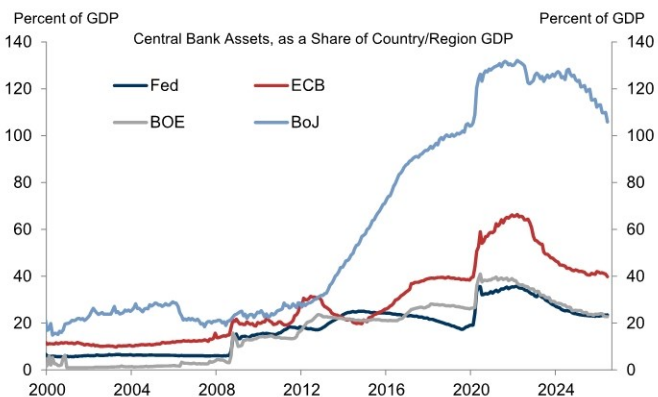
Source: Goldman Sachs Global Investment Research

Central bank ownership of sovereign bonds, current vs. 1y ago



Source: Haver Analytics

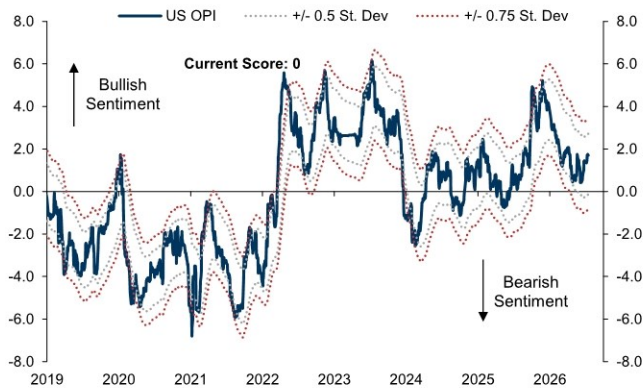
Central bank assets as a share of GDP



Source: Haver Analytics

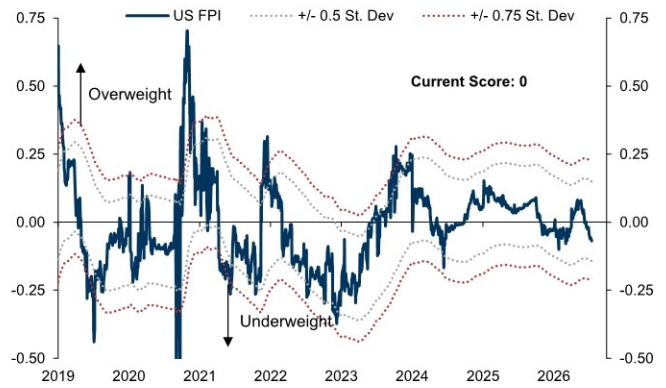
Positioning and Flows Monitor

Option implied position indicator



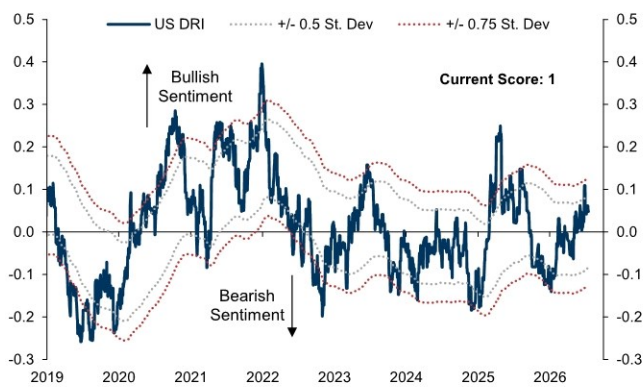
Source: Goldman Sachs Global Investment Research

GS Fund Positioning Indicator



Source: Goldman Sachs Global Investment Research

US Data Response Indicator (DRI)



Source: Goldman Sachs Global Investment Research

CFTC Commitment of Traders and Traders in Financial Futures

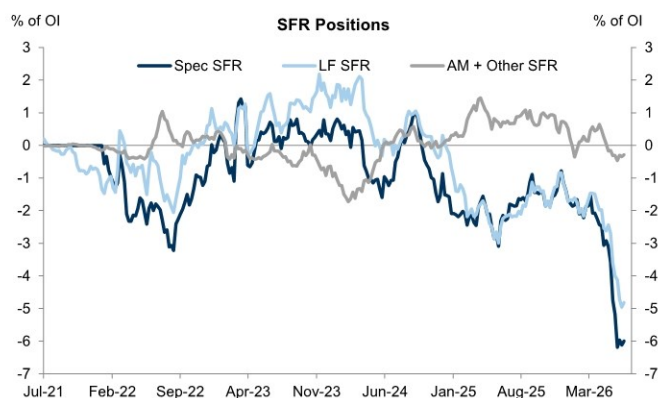
Duration-weighted net position by investor type

Duration-Weighted Positioning, by Contract

\$mm/bp	SFR	TU	FV	TY	TN	US	WN
Spec Current	-81.6	-43.4	-55.1	-50.4	-12.7	-18.0	-52.7
Spec 1w Change	2.0	0.8	-1.6	-0.9	-0.7	-6.0	-2.2
LF Current	-75.4	-60.4	-88.5	-125.0	-29.9	-47.8	-158.1
LF 1w Change	2.8	-0.3	-1.0	-3.3	-3.1	-1.8	2.7
AM + Other Current	-6.3	69.8	122.0	153.6	62.0	65.3	194.8
AM + Other 1w Change	1.2	-2.2	2.3	5.3	1.2	-3.3	-3.8
Dealer Current	81.6	-12.2	-34.7	-29.8	-25.3	-34.8	-42.4
Dealer 1w Change	-3.9	2.2	-0.8	-2.1	0.3	4.6	2.8

Source: CFTC, Goldman Sachs Global Investment Research

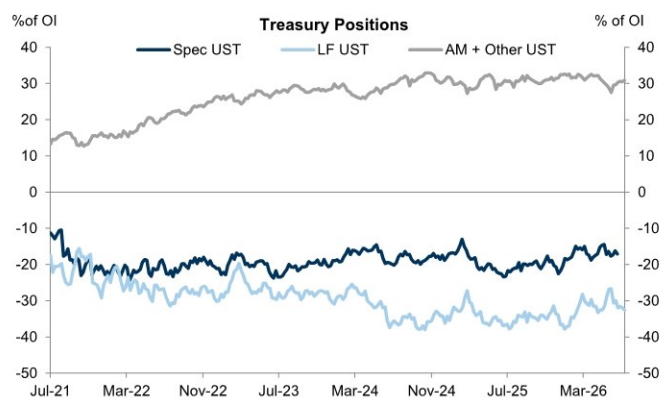
Net positions in Eurodollars



Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Net positions in UST futures

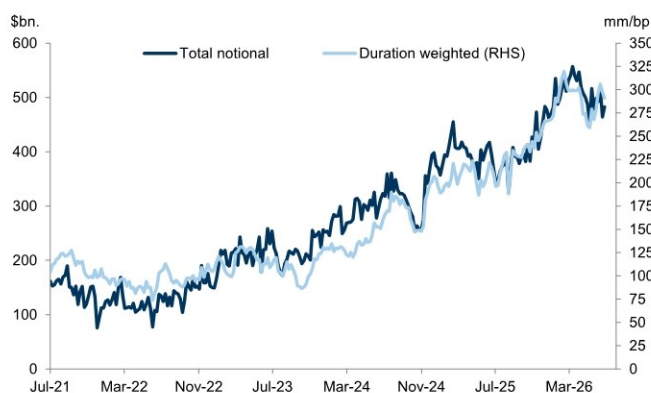


Note: Duration-weighted net position (long - short) as a % of duration-weighted gross exposure (long + short + spreading)

Source: CFTC, Goldman Sachs Global Investment Research

Primary dealer transactions

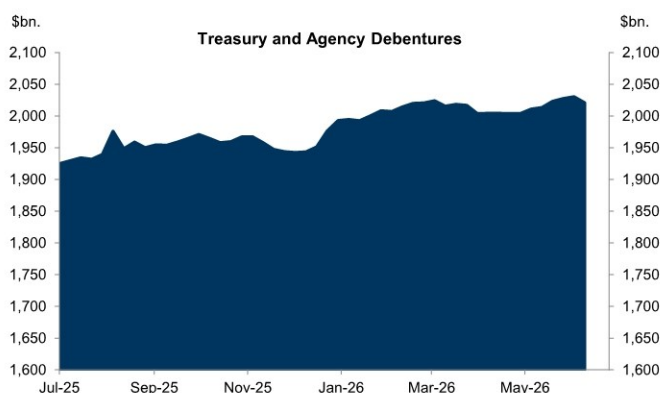
Net dealer position in US Treasuries



Source: Federal Reserve Bank of New York, Goldman Sachs Global Investment Research

US Commercial Banks' Holdings of Treasury and Agency Securities

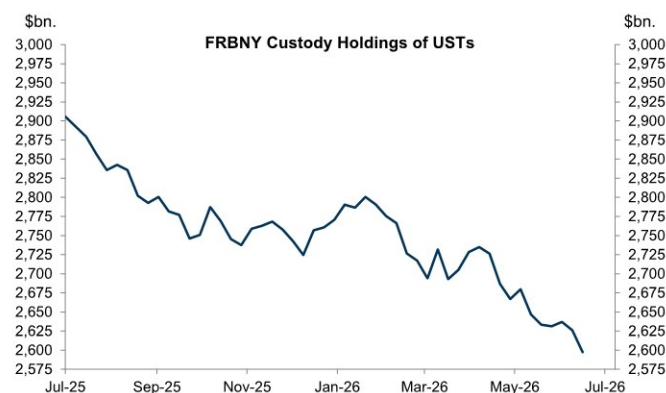
Total domestic and foreign holdings, all commercial banks



Source: Federal Reserve Board

NY Fed Custody Holdings

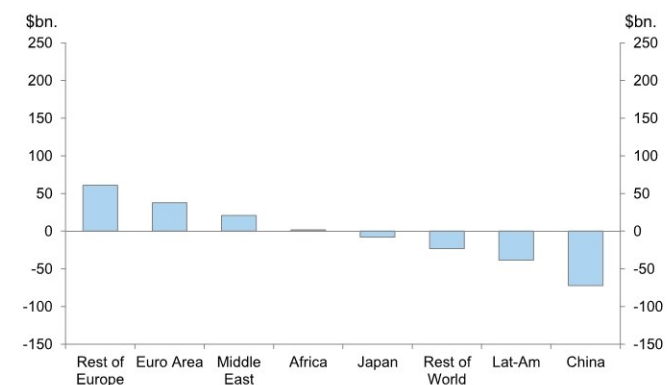
Marketable US Treasuries



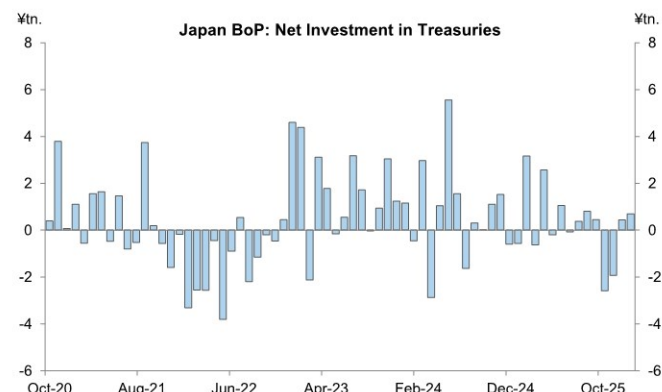
Source: Federal Reserve Bank of New York

US TIC Treasury Flows

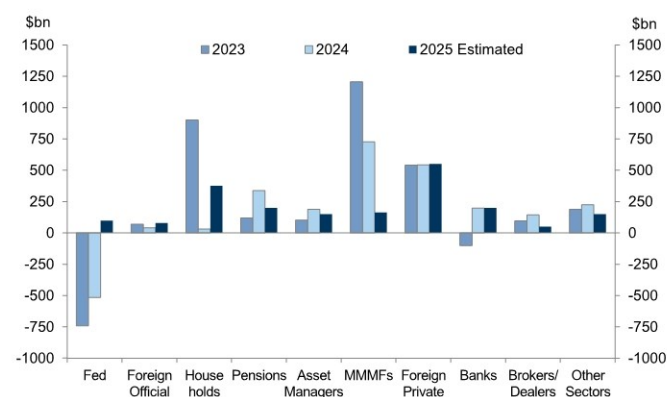
12m change in valuation-adjusted holdings of USTs, by holder of debt



Source: US Treasury, Goldman Sachs Global Investment Research

Net monthly purchases of short- and long-term US Treasuries by Japanese investors

Source: Bank of Japan, Haver Analytics

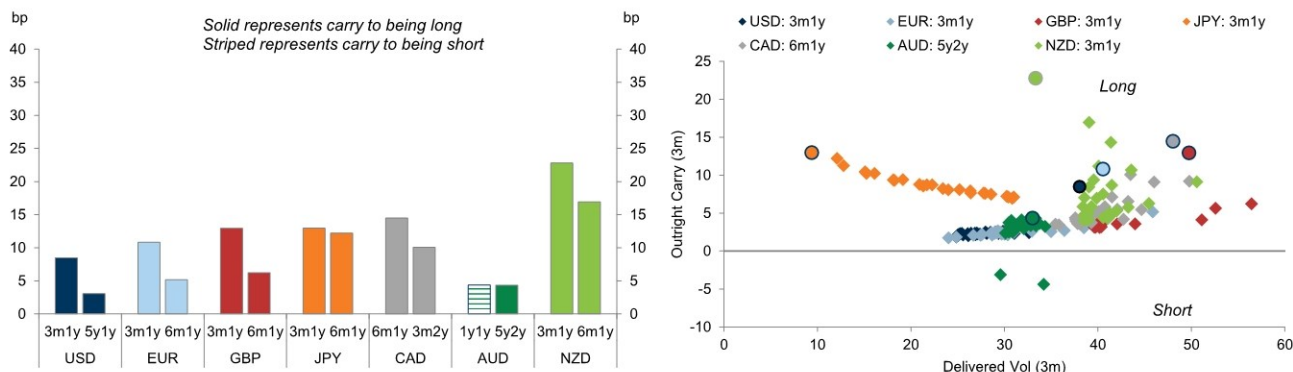
Flow of Funds annual net purchases of US Treasuries, by sector

Source: Federal Reserve Board, Goldman Sachs Global Investment Research

Carry/Rolldown Monitor

Outright Carry

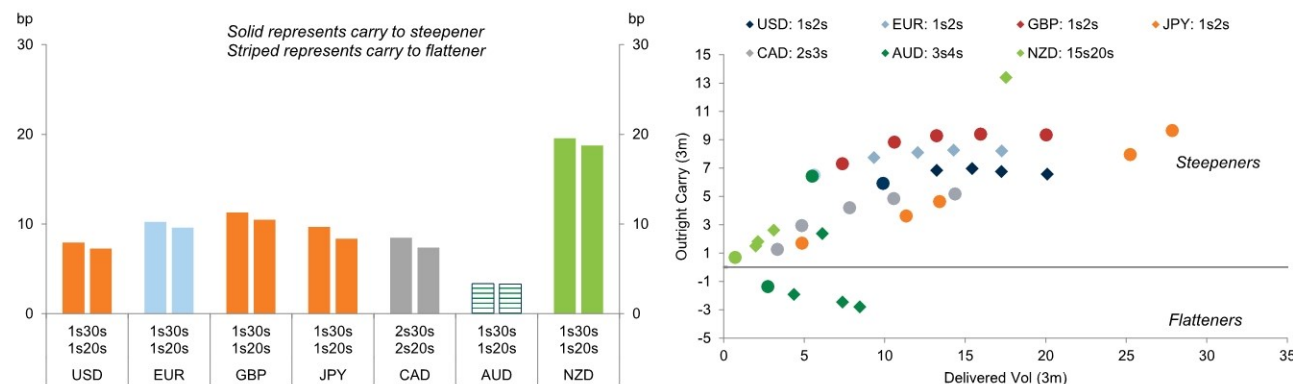
Bar chart shows top two carry points by currency, with solid reflecting carry to a long position and striped carry to a short position. Scatter illustrates top 25 carry/vol points by currency, with top point by currency noted



Source: Goldman Sachs Global Investment Research

Curve Carry

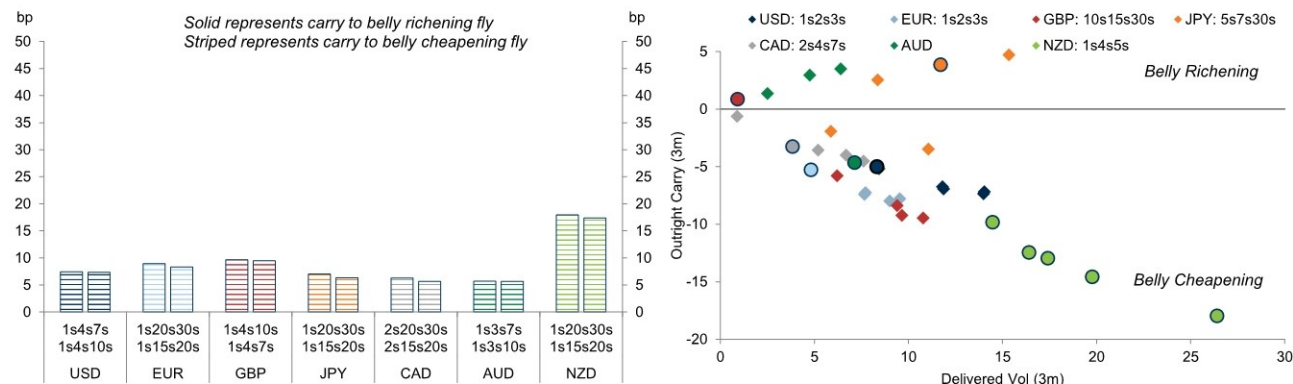
Bar chart shows top two carry curves by currency, with solid reflecting carry to a steepening position and striped carry to a flattening position. Scatter illustrates top 5 carry/vol curves by currency, with top curve by currency noted



Source: Goldman Sachs Global Investment Research

Fly Carry

Bar chart shows top two carry flies by currency, with solid reflecting carry to a belly-richening fly and striped carry to a belly-cheapening fly. Scatter illustrates top 5 carry/vol flies by currency, with top fly by currency noted



Source: Goldman Sachs Global Investment Research

Treasury Supply Monitor

Gross Treasury auction size estimates by year end, with GS projections

Monthly Auction Amounts at End of Calendar Year (\$ billions)											
	2y FRNs	2y	3y	5y	7y	10y	20y	30y	5y TIPS	10y TIPS	30y TIPS
YE-25 (CY)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-26 (CY, GS)	30 / 28 (r)	69	58	70	44	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	26 / 24 (r)	21 / 19 (r)	9 / 8 (r)
YE-27 (CY, GS)	33 / 30 (r)	83	72	84	58	42 / 39 (r)	16 / 13 (r)	25 / 22 (r)	28 / 26 (r)	21 / 19 (r)	9 / 8 (r)

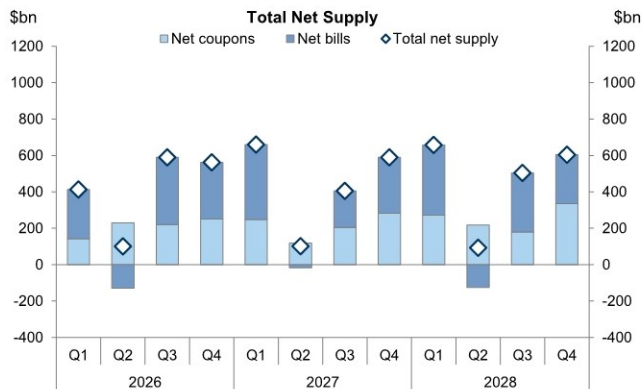
* Original Issue / Reopening listed for FRNs, 10s, 20s, 30s, and TIPS.

US Treasury Net Issuance by Calendar Year (\$ billions)						
	Net Coupons	Fed	Net of Fed	Net Bills	Fed	Net of Fed
CY 2024	1346	-475	1821	511	-23	534
CY 2025	1566	-115	1681	360	38	322
CY 2026, GS	1228	-4	1232	827	390	437
CY 2027, GS	1307	0	1307	907	453	453

Duration supply (\$bn 10y equiv)		
Gross supply	Fed	Net of Fed
2765	0	2765
2797	0	2797
2797	0	2797
2931	0	2931

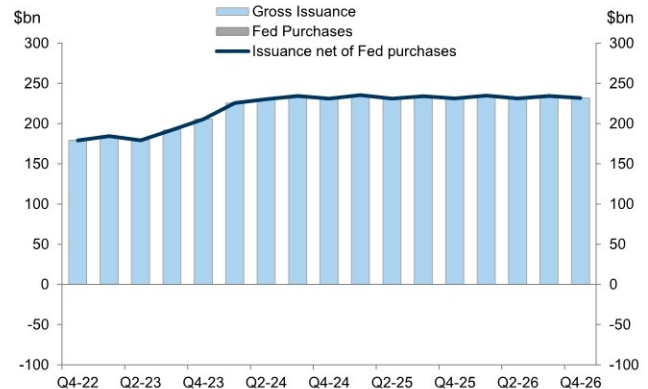
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Net issuance per quarter



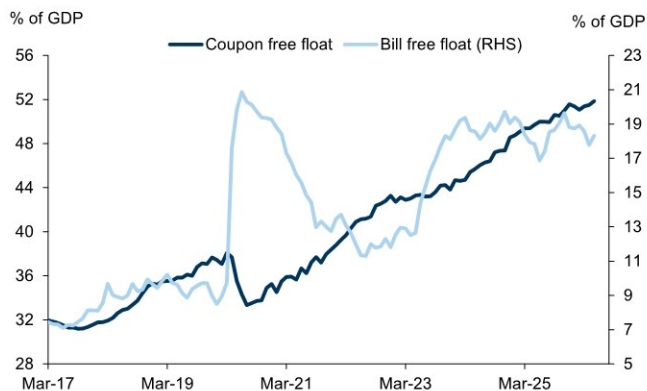
Source: Goldman Sachs Global Investment Research, US Department of the Treasury

Average monthly UST issuance, gross and net of Fed purchases; \$bn 10y equivalents



Source: Goldman Sachs Global Investment Research, US Department of the Treasury

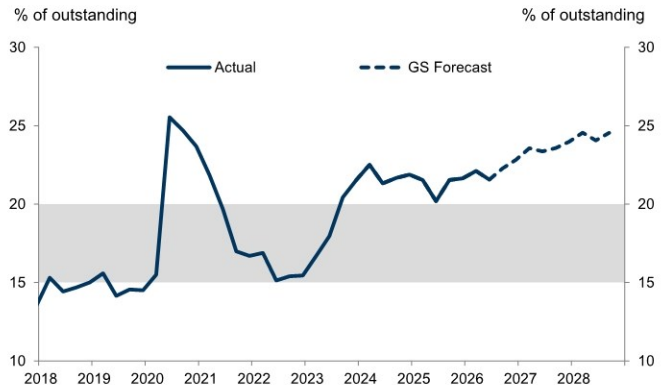
Free float (Treasury's outstanding less Fed and foreign official holdings) as % of GDP



Source: Haver Analytics, US Treasury, Goldman Sachs Global Investment Research

Bills as a share of Treasuries outstanding and GS forecast

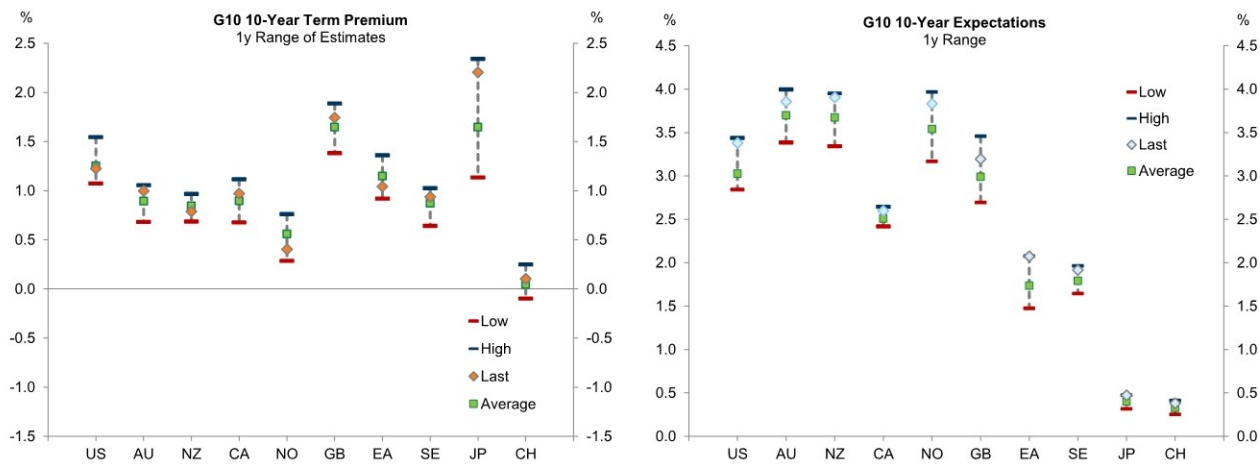
Gray shading denotes TBAC recommended 15-20% range



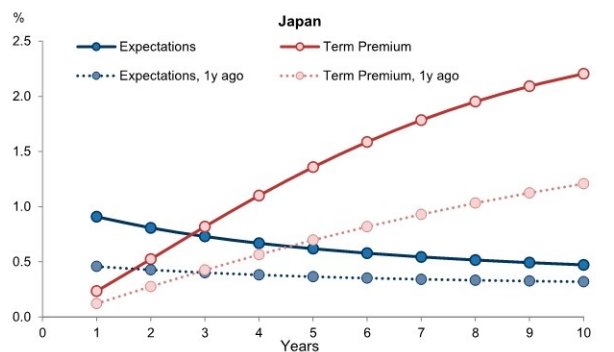
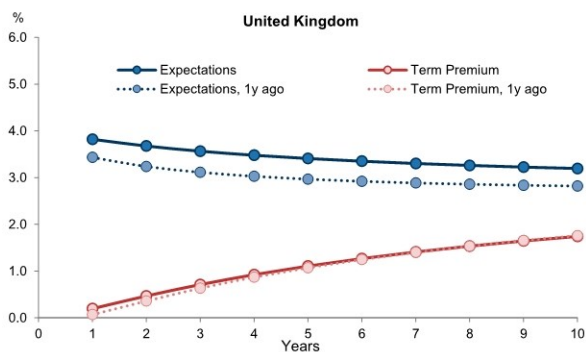
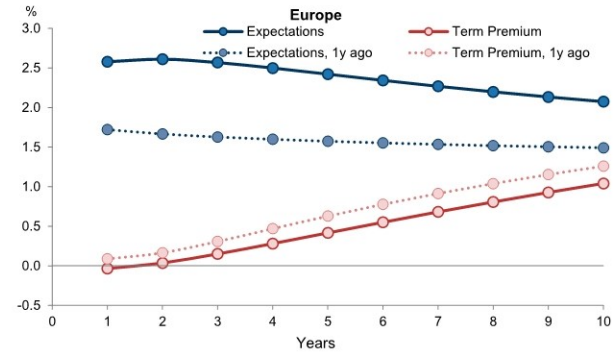
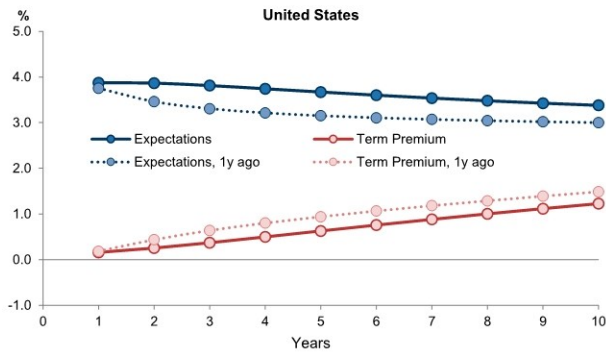
Source: US Treasury, Goldman Sachs Global Investment Research

GS Term Premium Decomposition

1y Range of G10 10y Yields, by Term Premium and Expectations Components



Term Structure of Fitted Yields, by Component



Source: Goldman Sachs Global Investment Research

2026 Trade Recommendations

GS Rates Trades						
Active	Entry Date	Opened	Latest	Stop	Target	Performance
1. Long 3y SOFR swap spread	17-Apr-26	-0.226	-0.185	-0.210	-0.150	+4 bps
2. Long 5y Receivers on 3m 2s5s10s Receiver Fly (bp running)	08-May-26	0.01	0.00	-0.05	0.10	-1 bps
3. 1y forward 2s10s GBP OIS steepeners	29-May-26	0.38	0.36	0.25	0.55	-2 bps
4. 2s10s NZD steepeners	03-Jul-26	0.72	0.74	0.62	0.90	+2 bps
5. 2s10s CAD steepeners	10-Jul-26	0.53	0.55	0.40	0.80	+2 bps
Closed	Entry Date	Closed	Performance			
1. SFRZ6/Z7 steepeners	21-Nov-25	14-Jan-26	+6bps			
2. Long 10y Gilts on ASW	21-Nov-25	30-Jan-26	+12 bps			
3. Long USD 3m2y A-25 receiver vs short 3m10y A-25 receiver (return in bp running)	07-Nov-25	09-Feb-26	-2 bps			
4. 2s5s CORRA steepener	16-Jan-26	13-Feb-26	+0 bps			
5. Receive AUD 5y5y IRS vs pay NZD 5y5y	28-Nov-25	18-Feb-26	+0 bps			
6. Long 20s on 10s20s30s weighted SOFR fly (weights 0.6x : 2x : 1.4x)	01-Aug-25	02-Mar-26	+6 bps			
7. Long SFIU6	30-Jan-26	03-Mar-26	+7 bps			
8. Long 10y Gilts vs Bunds	07-Nov-25	09-Mar-26	+4 bps			
9. 3m10y A+5/A+20/A+27.5 payer ladders (bp running)	20-Feb-26	23-Mar-26	-5 bps			
10. Long 10y NOK vs SEK	13-Feb-26	25-Mar-26	+20 bps			
11. Long EU 30y on the fly against 30y Austria and Spain	27-Feb-26	10-Apr-26	-5 bps			
12. Long USD 3m 2s10s A+10/A+25 curve cap spread (bp of notional)	23-Jan-26	15-Apr-26	-2 bps			
13. USD 3m3y A-5/A-40 receiver spreads	13-Mar-26	30-Apr-26	-7 bps			
14. Long 10y Inflation Swap vs 0.25x Receive 10y SOFR	27-Mar-26	07-May-26	+15 bps			
15. Pay 10s on 5s10s30s SOFR fly	09-Jan-26	08-May-26	-1 bps			
16. Long 10y Inflation Swap vs 0.25x Receive 10y SOFR	12-Jun-26	18-Jun-26	-1 bps			
17. Long 5y5y EUR OIS - HICP	01-May-26	19-Jun-26	+11 bps			
18. Long 2y1y OIS vs pay August RBA	26-Jun-26	08-Jul-26	-8 bps			
19. Long 3y France, Spain, Italy vs OIS (equally weighted)	10-Apr-26	10-Jul-26	+5 bps			
20. 2s5s CAD steepeners	24-Apr-26	10-Jul-26	+9 bps			

Note: Potential profit/loss estimates are given as per unit of duration risk, through yesterday's close.

Source: Goldman Sachs Global Investment Research

Global Interest Rates Strategy

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Reg AC

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